22. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the weighted average annual income tax rate expected for the full financial year considering global minimum top-up tax. The average annual tax rate expected as of September 30, 2024 to be effective for the year ended December 31, 2024 is 9.9%.

23. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the three and nine-month periods ended September 30, 2024 and 2023 are calculated as follows:

(1) Ordinary shares

	2024		2023	
(In millions of Korean won and shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit for the period attributable to owners of the parent company	9,781,547	26,045,230	5,501,304	8,449,574
Profit for the period available for ordinary shares	8,596,578	22,890,024	4,834,858	7,425,965
Weighted-average number of ordinary shares outstanding	5,969,782,550	5,969,782,550	5,969,782,550	5,969,782,550
Basic earnings per ordinary share *(in Korean won)*	1,440	3,834	810	1,244

(2) Preference shares

	2024		2023	
(In millions of Korean won and shares)	**3 Months**	**9 Months**	**3 Months**	**9 Months**
Profit for the period attributable to owners of the parent company	9,781,547	26,045,230	5,501,304	8,449,574
Profit for the period available for preference shares	1,184,969	3,155,206	666,446	1,023,609
Weighted-average number of preference shares outstanding	822,886,700	822,886,700	822,886,700	822,886,700
Basic earnings per preference share *(in Korean won)*	1,440	3,834	810	1,244

(B) Diluted earnings per share

The Company does not have dilutive potential ordinary shares and as a result, basic earnings per share and diluted earnings per share are the same for the three and nine-month periods ended September 30, 2024 and 2023.

24. Statements of Cash Flows

The Company used the indirect method to present cash flows from operating activities. Adjustments and changes in assets and liabilities arising from operating activities for the nine-month periods ended September 30, 2024 and 2023 are as follows:

- Adjustments

(In millions of Korean won)	2024	2023
Adjustments:		
Income tax expense	2,925,522	(1,660,366)
Financial income	(5,128,916)	(5,173,514)
Financial expenses	2,772,362	3,067,746
Post-employment benefits	1,088,347	827,860
Depreciation	28,915,583	26,469,065
Amortization	2,214,669	2,363,112
(Reversal of) bad debt expense	(9,458)	91,444
Dividend income	(101,417)	(131,278)
Share of profit of associates and joint ventures	(596,758)	(676,459)
Gain on disposal of property, plant and equipment	(39,727)	(83,050)
Loss on disposal of property, plant and equipment	107,000	70,037
Loss (Reversal of loss) on valuation of inventories	(2,437,809)	4,919,360
Other	364,696	27,100
Total	30,074,094	30,111,057

- Changes in assets and liabilities arising from operating activities

(In millions of Korean won)	2024	2023
Changes in assets and liabilities:		
Decrease (increase) in trade receivables	(7,829,780)	(5,734,362)
Decrease in other receivables	355,257	990,596
Increase in prepaid expenses	(409,024)	(377,419)
Decrease (increase) in inventories	1,007,521	(6,286,040)
Increase in trade payables	893,040	1,380,348
Increase in other payables	839,263	637,296
Increase in advances received	216,611	58,239
Decrease in withholdings	(37,551)	(540,655)
Increase (decrease) in accrued expenses	1,628,874	(4,137,776)
Increase in provisions	1,101,318	1,778,811
Payment of post-employment benefits	(1,042,780)	(536,633)
Other	(46,172)	(165,738)
Total	(3,323,423)	(12,933,333)

For the nine-month periods ended September 30, 2024 and 2023, cash outflows from principal portion of lease liabilities (financial activities) amount to ₩ 885,181 million and ₩ 814,987 million, respectively, and cash outflows due to interest expenses (operating activities) in relation to the lease liabilities amount to ₩ 165,307 million and ₩ 144,529 million, respectively.